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Subject: Management Discussion and Analysis for the year ended December 31, 2016 (Audited)

To: The President
The Stock Exchange of Thailand

Kiatnakin Bank Public Company Limited ("the Bank" or "KK") submits the Management Discussion and Analysis (MD&A) report for the year ended December 31, 2016, comparing operating performance and financial position for the year 2016 with those of 2015. This report discusses principal changes in the audited consolidated financial statements.

**Overall market environment**

The Thai economy for the year 2016 is expected to grow at 3.2%, increased from growth of 2.8% during the year 2015 with contributions from the following key factors 1) Continuous growth in tourism sector with the number of tourists arrivals continuing to expand at 8.9% together with various year-end stimulus measures such as exemption of visa fees, tax privilege for domestic travels etc. aimed at lessening the impact from the recent measures to curb illegitimate tour operators 2) Increased in public spending together with various economic stimulus initiatives; year-end tax privilege for Baht 15,000 domestic consumption, payment to low-income non-agricultural related individuals 3) Gradual recovery in the agricultural sector especially during the second half of 2016 after the impact from the drought has tapered off and the continued increase in agricultural prices for petroleum-related products 4) Signs of recovery in the export sector partly from the increased in oil prices and the brightening prospect for the electronics market segment. Nevertheless, the structural problems of the Thai economy still limit the economic growth as can be seen from the following factors: Capacity utilization still remains at a low level limiting investment growth in the private sector. The continuous decline in employment rate together with the current high level of household debt both of which impede the recovery of private consumption. For the year 2017, the Bank in-house research projected the domestic economic growth to be at 3.2% the same level as that of the previous year.

For financial market, The Bank of Thailand maintained the policy rate at 1.5%, the same level since April 2015. Inflation currently below the target level is projected to return to be within the target band of 1.00% - 4.00% within 1Q17.

The auto industry for the year 2016 still exhibited a continual contraction for 4 consecutive years, with the number of new car sales for the year 2016 totaling 768,788 units, a contraction of 3.9% yoy. Sales for passenger car segment declined 6.5% yoy while the commercial vehicle segment registered a smaller contraction of 2.3%. This is partly due to the increased in demand for pick-up trucks and pick-up passenger vehicles (PPV) contributed by the improvement in the agricultural sector in the second half of 2016. Based on the Bank in-house research, new car sales for the year 2017 is projected to slightly increase with total sales of around 790,000 units.

In the equity market, the average daily turnover (SET and mai) for the year 2016 increased from Baht 44,302 million in 2015 to Baht 52,526 million, an increase of 18.6%. The SET index at the end of 2016, closed at 1,542.94 points, improving by 19.8% from 1,288.02 points at the end of 2015.

**Overall Business Operations for the year 2016**

The Bank's loan portfolio for the year 2016 contracted slightly by 0.8 % from the end of 2015 comparing to contractions of 3.6% in 2015 and contractions of 3.1% in 2014. Key contributions to the year 2016 loan growth are from the following: Lombard loans increased by 208.2%, personnel loans increased by 105.0%, Micro SMEs including SME Car3x loans expanded at 90.7% while housing loans expanded at 289.5%. Meanwhile, hire purchase loans and commercial loans contracted by 2.7% and 10.6% respectively for the year. Corporate banking loans also declined by 21.6% for the year 2016.

For asset quality, the Non-Performing Loans (NPLs) to total loans ratio at the end of 2016 decreased to 5.6% from 5.8% at the end of 2015. The NPLs from loans to real estate developments segment improved slightly during the year while NPLs for hire purchase loans continued to show continuous improvement with the NPLs ratio for hire purchase loans still in a decline from 2.4% at the end of 2015 to 1.9% at the end of 2016. During 2016, the Bank issued total debentures amounting to Baht 91,173 million, of which Baht 3,000 million are subordinated debentures classified as Tier 2 capital. On Special Asset Management business, the Bank sold non-performing assets (NPAs) totaling Baht 2,633 million and had gain of Baht 1,189 million.

For the year 2016, the Bank has outlined the following 3 key business areas of focus 1) Credit House – building efficiencies and creating standards, loan expansions and effective credit monitoring and control 2) Private Banking – business expansions, capitalizing on the Kiatnakin Phatra Financial Group ("the Group") expertise in the business to expand and increase fee income and assets under advise and 3) Investment Banking – maintaining the status as the leader in Investment Banking. In addition to the three business areas of focus, the Bank plans to capitalize on collaborations within the Group to expand the products and services offerings while enhancing business processes with an aim to offer seamless services between Banking and Capital market business. The Bank will continue to focus on developing new products and services while expanding to new customer base through new alternative channels for example, through direct sale agents, to extend the Bank reach to retail customers.

Key developments during 2016 are as following: subsequent to Phatra Capital Public Company Limited ("Phatra"), a subsidiary in which the Bank holds 99.98% of the shares, has executed a sale and purchase agreement for the sale of all shares in KKTRADE Securities Company Limited ("kktrade") with Yuanta Securities Asia Financial Services Limited ("Yuanta") (the "Share Sale and Purchase Agreement"). The material detail of the Share Sale and Purchase Agreement are as stated in the Bank's letter to The Stock Exchange of Thailand dated April 27, 2016. Subsequently, on July 8, 2016, the parties have fulfilled all conditions precedent under the Share Sale and Purchase Agreement and Phatra has completed the sale of shares in kktrade to Yuanta under the terms and conditions of the Share Sale and Purchase Agreement.

Additionally, in order to expand the Group financial and investment services and products in relation to the Group's wealth management service, the Bank has established Phatra Asset Management (Cayman) Limited to support the Group operation of securities investment business overseas.

On products and services, the Bank introduced "KK SME Car 3x" loan, aimed at small and medium-sized enterprises, using cars as collateral with maximum credit line of three times the collateral value. For deposit and investment products, the Bank launched "Phatra Edge", an investment and financial planning service to clients with deposits and investments accounts between Baht 2 -30 million. The Bank also launched "KK e-Banking" to provide the Bank's customers with added convenience through the use of secured on-line financial management and services. KK e-Banking services are available through both website and mobile application format.

In terms of distribution channels, the Bank direct sales team which was recently set up in order to expand the Bank's customer base to new customer groups for personal loans, housing loans and SME Car 3x products, has been in full operations during 2016 and has been expanding the Bank's reach into the new customer groups as planned. Additionally, during 4Q16, the Bank has opened 1 new branch at CentralPlaza Ladprao in addition to the Bank's financial hubs at Central World shopping complex and at Thonglor road which were opened earlier during 2016. The financial hub exhibits the Bank's new branch model concept with a focus on providing comprehensive financial and investment services to the Bank's customers. As of the end of December 2016, the Bank has a total of 66 branches.

For Capital market business, the market shares (SET and mai excluding proprietary trading) of Phatra Securities Plc. (PSEC) was 4.81%, increased from 4.69% in 2015, ranking 4$^{th}$ from total 36 brokers.

**Summary of Performance of the Bank and subsidiaries**

| **Percentage** | **4Q15** | **2015** | **1Q16** | **2Q16** | **3Q16** | **4Q16** | **2016** |
|---|---|---|---|---|---|---|---|
| Loan growth | 0.6 | (3.6) | (1.2) | (0.4) | 0.2 | 0.6 | (0.8) |
| NPLs/ Total Loans (excluding interbank) | 5.8 | 5.8 | 5.7 | 6.1 | 5.9 | 5.6 | 5.6 |
| Total loan loss reserve/ Total NPLs (coverage ratio) | 91.9 | 91.9 | 97.2 | 95.7 | 105.4 | 110.1 | 110.1 |
| Total loan loss reserve/ Total mandatory reserve | 160.1 | 160.1 | 166.7 | 169.8 | 181.6 | 187.8 | 187.8 |

## Operating Performance for the year 2016

Statement of Comprehensive Income

| For the year ended December 31, | CONSOLIDATED | | Change | |
|---|---|---|---|---|
| (BAHT'000) | 2016 | 2015 | Amount | % |
| Interest income | 14,869,138 | 14,776,371 | 92,767 | 0.6 |
| Interest expenses | 4,436,088 | 5,327,821 | (891,733) | (16.7) |
| Interest income, net | 10,433,050 | 9,448,550 | 984,500 | 10.4 |
| Fees and services income | 4,174,296 | 3,933,960 | 240,336 | 6.1 |
| Fees and services expenses | 467,747 | 462,599 | 5,148 | 1.1 |
| Fees and services income, net | 3,706,549 | 3,471,361 | 235,188 | 6.8 |
| Gain on trading and foreign exchange transactions, net | 577,240 | 877,447 | (300,207) | (34.2) |
| Gain (Loss) on investments, net | 203,326 | 335,750 | (132,424) | (39.4) |
| Dividend income and profit sharing | 442,456 | 321,246 | 121,210 | 37.7 |
| Other operating income | 792,921 | 602,610 | 190,311 | 31.6 |
| Total operating income | 16,155,542 | 15,056,964 | 1,098,578 | 7.3 |
| Other operating expenses | | | | |
| Employee's expenses | 4,767,079 | 4,287,291 | 479,788 | 11.2 |
| Directors' remuneration | 31,982 | 23,245 | 8,737 | 37.6 |
| Premises and equipment expenses | 968,748 | 974,765 | (6,017) | (0.6) |
| Taxes and duties | 334,831 | 307,881 | 26,950 | 8.8 |
| Loss from revaluation of foreclosed assets | 25,898 | 423,932 | (398,034) | (93.9) |
| Loss (Gain) from sale of foreclosed assets | (545,112) | 380,722 | (925,834) | (243.2) |
| Other expenses | 1,768,984 | 1,424,030 | 344,954 | 24.2 |
| Total other operating expenses | 7,352,410 | 7,821,866 | (469,456) | (6.0) |
| Impairment loss on loans and debt securities | 2,313,121 | 3,207,974 | (894,853) | (27.9) |
| Profit from operating before income tax expenses | 6,490,011 | 4,027,124 | 2,462,887 | 61.2 |
| Income tax expenses | 878,896 | 601,573 | 277,323 | 46.1 |
| Net profit | 5,611,115 | 3,425,551 | 2,185,564 | 63.8 |
| **Net profit attributable to:** | | | | |
| Equity holders of the Bank | 5,546,725 | 3,317,102 | 2,229,623 | 67.2 |
| Non-controlling interests | 64,390 | 108,449 | (44,059) | (40.6) |
| **Total comprehensive income attributable to:** | | | | |
| Equity holders of the Bank | 5,756,452 | 3,118,956 | 2,637,496 | 84.6 |
| Non-controlling interests | 54,789 | 109,351 | (54,562) | (49.9) |
| **Earnings per share of Equity holders of the Bank** | | | | |
| Basic earnings per share (Baht) | 6.55 | 3.92 | 2.63 | 67.1 |
| Diluted earnings per share (Baht) | 6.55 | 3.92 | 2.63 | 67.1 |

**Operating results of the Bank and subsidiaries for the year 2016 comparing with the year 2015**

The consolidated net profit for year 2016 totaled Baht 5,547 million, an increase of 67.2% yoy, of which Baht 1,086 million was the net profit from Capital Market Business operated by Phatra Capital Plc. (Phatra), and subsidiaries i.e. PSEC and PASSET. Meanwhile, the consolidated comprehensive income for 2016 totaled Baht 5,756 million, increased by 84.6% yoy. The Capital Market business comprehensive income was Baht 1,075 million. The comprehensive income included revaluation of available-for-sale securities as a result of the capital market volatility.

Interest income was Baht 14,869 million, increased by 0.6% yoy mainly from the increase in interest income on investment in loans by 84.3% yoy from loan restructuring progress. Meanwhile, interest income on loans declined by 4.3% mainly as a result of the contraction in commercial loans portfolio for the real estate development segment during the year. Interest income from securities also declined by 30.3%.

| For the year ended | Consolidated | | Change | |
|---|---|---|---|---|
| | Dec 31, 2016 | Dec 31, 2015 | Baht million | % |
| **Interest income** | **14,869** | **14,776** | **93** | **0.6** |
| Interest on loans | 4,419 | 4,619 | (200) | (4.3) |
| Interest on interbank and money market items | 135 | 135 | (0) | (0.1) |
| Hire purchase and financial lease income | 8,928 | 8,910 | 18 | 0.2 |
| Interest on securities | 403 | 579 | (175) | (30.3) |
| Interest on investment in loans | 985 | 534 | 450 | 84.3 |

Interest expenses totaled Baht 4,436 million, decreasing by Baht 892 million or a decline of 16.7% yoy. Cost of fund at the end of 2016 decreased to 2.5% from 3.0% at the end of 2015. The decline continues to be from the result of several factors: the reduction in deposit rates in line with the market conditions, the Bank continuous efforts on optimizing its funding structures and also by the overall slowdown in deposit volume as a result of loan contractions during the previous periods.

| For the year ended | Consolidated | | Change | |
|---|---|---|---|---|
| | Dec 31, 2016 | Dec 31, 2015 | Baht million | % |
| **Interest expense** | **4,436** | **5,328** | **(892)** | **(16.7)** |
| Interest on deposits | 2,111 | 3,062 | (950) | (31.0) |
| Interest on interbank and money market items | 89 | 94 | (5) | (5.6) |
| Interest on debt issued and borrowings | 1,462 | 1,328 | 133 | 10.0 |
| Fees and charges on borrowings | 3 | 3 | 0 | 13.9 |
| FIDF and DPA fees | 726 | 779 | (53) | (6.8) |
| Others | 45 | 62 | (17) | (27.3) |

Net interest income amounted to Baht 10,433 million, up from Baht 9,449 million in 2015, an increase of 10.4% yoy. Loan spread improved to 4.9% from 4.5% in 2015. Cost of fund dropped yoy from 3.0% to 2.5% in 2016. Meanwhile, yield on loan for the year 2016 remained stable at 7.5%.

| % | 4Q15 | 2015 | 1Q16 | 2Q16 | 3Q16 | 4Q16 | 2016 |
|---|---|---|---|---|---|---|---|
| Yield on loan | 7.8 | 7.5 | 7.5 | 7.3 | 7.5 | 7.9 | 7.5 |
| Cost of fund | 2.7 | 3.0 | 2.7 | 2.7 | 2.5 | 2.4 | 2.5 |
| Loan spread | 5.1 | 4.5 | 4.8 | 4.6 | 5.0 | 5.5 | 4.9 |

Net fees and services income totaled Baht 3,707 million, increasing by 6.8% from 2015. For Capital Market business, brokerage income totaled Baht 1,691 million, an increase of 3.1% as a result of the increased in market trading volume during 2016. Brokerage income for the year 2016 included income generated from kktrade only up to the end of July 8, 2016. Fee from Asset Management business increased to Baht 331 million in 2016, an increase of 29.5% from 2015. Meanwhile, financial advisory and underwriting fees totaled Baht 171 million, declining by 28.3% yoy. Bancassurance fee amounted to Baht 952 million, increasing by 6.9% from 2015.

Total operating income amounted to Baht 16,156 million, increased by 7.3% yoy mainly from the increase in net interest income of 10.4% together with the increase in net fees and services income by 6.8% as stated above. Meanwhile, the Bank recorded gain on trading and foreign exchange transactions mainly contributed from the Capital Market business in the amount of Baht 577 million, decreasing 34.2% yoy. The Bank also recorded gain on investments totaled Baht 203 million, a decrease of 39.4% yoy.

Other operating expenses were Baht 7,352 million, decreased by 6.0% yoy. Other operating expenses also included loss from sale of foreclosed assets, which in 2016 had a gain totaled Baht 545 million, comparing to loss of Baht 381 million during 2015. The gain on sale of foreclosed assets of Baht 545 million comprised of loss from sale of repossessed cars totaled Baht 644 million, declining 47.4% yoy or reducing from loss of Baht 1,225 million in 2015 mainly from lower loss per asset cost with gain on sale of foreclosed properties totaled Baht 1,189 million, an increase of 40.9% comparing to gain of Baht 844 million in 2015.

When excluding loss from sale of foreclosed assets and loss from revaluation of foreclosed assets, operating expenses for the year 2016 totaled Baht 7,872 million increasing 12.2% yoy comparing to expenses of Baht 7,017 million for 2015 with increases mainly from personnel expenses and marketing expenses. Cost-to-income ratio excluding loss from sale of foreclosed assets and loss from revaluations stood at 45.4% for 2016, comparing with 44.1% in 2015.

Bad debts and doubtful accounts and loss on debt restructuring totaled Baht 2,313 million, declining from Baht 3,208 million in 2015. During the year 2016, the Bank set up general reserve totaled Baht 1,650 million to provide buffer against economic uncertainties.

Allowance for doubtful accounts and allowance for troubled debt restructuring amounted to Baht 10,966 million with outstanding Baht 4,500 million in general reserve. The total loan loss reserve to total mandatory reserve ratio increased to 187.8% comparing to 160.1% at the end of 2015. Meanwhile, total loan loss reserve to total NPLs ratio (coverage ratio) is at 110.1%, increasing from 91.9% at the end of 2015.

Corporate Income Tax totaled Baht 879 million or 13.5% tax rate. Basic earnings per share and diluted earnings per share were Baht 6.55 per share.

| Annualized Ratios | 4Q15 | 2015 | 1Q16 | 2Q16 | 3Q16 | 4Q16 | 2016 |
|---|---|---|---|---|---|---|---|
| **Net Profit (Baht million)** | **980** | **3,317** | **1,107** | **1,297** | **1,691** | **1,452** | **5,547** |
| ROAE (%) | 10.5 | 8.9 | 11.5 | 13.2 | 17.3 | 14.6 | 14.2 |
| ROE (%) | 10.6 | 9.0 | 11.7 | 13.2 | 17.3 | 14.9 | 14.6 |
| ROAA (%) | 1.7 | 1.4 | 1.9 | 2.2 | 2.9 | 2.5 | 2.4 |
| **Comprehensive income (Baht million)** | **1,024** | **3,119** | **1,356** | **1,485** | **1,661** | **1,255** | **5,756** |
| ROAE (%) | 10.9 | 8.4 | 14.0 | 15.2 | 17.0 | 12.6 | 14.7 |
| ROE (%) | 11.1 | 8.5 | 14.3 | 15.1 | 17.0 | 12.9 | 15.2 |
| ROAA (%) | 1.7 | 1.3 | 2.3 | 2.6 | 2.8 | 2.1 | 2.4 |

**Operating results of the Bank and subsidiaries for 4Q16 comparing with 4Q15**

The consolidated net profit for 4Q16 totaled Baht 1,452 million, increased by 48.1% comparing to the same period last year, of which Baht 216 million was the net profit from Capital Market business operated by Phatra Capital Plc. (Phatra) and subsidiaries i.e. PSEC and PASSET. Meanwhile, the consolidated comprehensive income totaled Baht 1,255 million, increased by 22.5% with Capital Market business comprehensive income at Baht 295 million. The comprehensive income included revaluation of available-for-sale securities as a result of the capital market volatility.

**Net interest income** amounted to Baht 2,602 million, up 1.3% following improving loan spread from 5.1% in 4Q15 to 5.5% in 4Q16. Yield on loan improved slightly to 7.9% from 7.8% yoy while cost of fund declined from 2.7% in 4Q15 to 2.4% in 4Q16.

**Net fee and service income** totaled Baht 1,014 million, increasing 6.1% yoy mainly from the increase in financial advisory and underwriting fee which for 4Q16 totaled Baht 133 million or an increase of 26.7% from 4Q15 and also from the increase in bancassurance fee which totaled Baht 244 million, increased by 9.3% yoy. Meanwhile, fee from Asset Management business fee totaled Baht 88 million, a decline of 15.5% with brokerage fee also declining slightly by 1.8% yoy.

**Total operating income** amounted to Baht 4,161 million, a slight decrease of 1.0% from the same period last year. During 4Q16, net interest income and net fees and services income increased as outlined above, however, gain on trading and foreign exchange transactions amounted to Baht 160 million, decreasing 59.2% yoy. Gain on investments also declined by Baht 44 million from 4Q15.

**Other operating expenses** were Baht 2,430 million, increased by 5.6% yoy. Loss from sale of foreclosed assets during 4Q16 totaled Baht 173 million, comparing to gain of Baht 20 million during the same period last year with loss from sale of repossessed cars totaled Baht 208 million and gain on sale of foreclosed properties totaled Baht 35 million for 4Q16.

When excluding loss from sale of foreclosed assets and loss from revaluation of foreclosed assets, operating expenses for 4Q16 totaled Baht 2,214 million increasing 6.7% yoy comparing to expenses of Baht 2,074 million for 4Q15. Cost-to-income ratio excluding loss from sale of foreclosed assets and loss from revaluations stood at 52.8% for 4Q16, comparing with 46.4% in 4Q15.

**Bad debts and doubtful accounts and loss on debt restructuring** totaled Baht 100 million, decreasing from Baht 824 million yoy. For the year 2016, the Bank set up additional general reserve of Baht 350 million in 1Q16, Baht 300 million in 2Q16, Baht 750 million in 3Q16 and Baht 250 million in 4Q16, totaling Baht 1,650 million.

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## Statement of Comprehensive Income

| For the three month period ended December 31, | CONSOLIDATED | | Change | |
|---|---|---|---|---|
| (BAHT'000) | 2016 | 2015 | Amount | % |
| Interest income | 3,666,394 | 3,743,175 | (76,781) | (2.1) |
| Interest expenses | 1,064,535 | 1,173,747 | (109,212) | (9.3) |
| Interest income, net | 2,601,859 | 2,569,428 | 32,431 | 1.3 |
| Fees and services income | 1,132,653 | 1,078,778 | 53,875 | 5.0 |
| Fees and services expenses | 118,914 | 123,124 | (4,210) | (3.4) |
| Fees and services income, net | 1,013,739 | 955,654 | 58,085 | 6.1 |
| Gain (Loss) on trading and foreign exchange transactions, net | 159,577 | 390,797 | (231,220) | (59.2) |
| Gain (Loss) on investments, net | (24,401) | 19,845 | (44,246) | (223.0) |
| Dividend income and profit sharing | 71,124 | 54,411 | 16,713 | 30.7 |
| Other operating income | 339,044 | 212,043 | 127,001 | 59.9 |
| Total operating income | 4,160,942 | 4,202,178 | (41,236) | (1.0) |
| Other operating expenses | | | | |
| Employee's expenses | 1,359,820 | 1,291,705 | 68,115 | 5.3 |
| Directors' remuneration | 7,492 | 5,970 | 1,522 | 25.5 |
| Premises and equipment expenses | 231,971 | 239,987 | (8,016) | (3.3) |
| Taxes and duties | 73,818 | 82,471 | (8,653) | (10.5) |
| Loss from revaluation of foreclosed assets | 43,117 | 247,342 | (204,225) | (82.6) |
| Loss (Gain) from sale of foreclosed assets | 172,686 | (20,497) | 193,183 | (942.5) |
| Other expenses | 540,924 | 454,073 | 86,851 | 19.1 |
| Total other operating expenses | 2,429,828 | 2,301,051 | 128,777 | 5.6 |
| Impairment loss on loans and debt securities | 100,094 | 824,372 | (724,278) | (87.9) |
| Profit from operating before income tax expenses | 1,631,020 | 1,076,755 | 554,265 | 51.5 |
| Income tax expenses | 172,203 | 26,163 | 146,040 | 558.2 |
| Net profit | 1,458,817 | 1,050,592 | 408,225 | 38.9 |
| **Net profit attributable to:** | | | | |
| Equity holders of the Bank | 1,452,151 | 980,483 | 471,668 | 48.1 |
| Non-controlling interests | 6,666 | 70,109 | (63,443) | (90.5) |
| **Total comprehensive income attributable to:** | | | | |
| Equity holders of the Bank | 1,254,542 | 1,023,784 | 230,758 | 22.5 |
| Non-controlling interests | (1,162) | 70,524 | (71,686) | (101.6) |
| **Earnings per share of Equity holders of the Bank** | | | | |
| Basic earnings per share (Baht) | 1.71 | 1.16 | 0.55 | 47.4 |
| Diluted earnings per share (Baht) | 1.71 | 1.16 | 0.55 | 47.4 |

**Statements of Financial Position**

Assets, as at December 31, 2016, totaled Baht 233,776 million, decreased by Baht 2,368 million or 1.0% from the end of 2015. Total loans net deferred revenue amounted to Baht 176,354 million from Baht 177,966 million at the end of 2015.

| ASSETS (BAHT'000) | CONSOLIDATED | | Change | |
|---|---|---|---|---|
| | Dec 31, 2016 | Dec 31, 2015 | Amount | % |
| Cash | 1,167,425 | 1,032,052 | 135,373 | 13.1 |
| Interbank and money market items, net | 11,484,482 | 9,801,161 | 1,683,321 | 17.2 |
| Derivatives assets | 1,353,345 | 1,756,965 | (403,620) | (23.0) |
| Investments in securities, net | 28,365,336 | 20,290,440 | 8,074,896 | 39.8 |
| Investments in receivables, net | 2,553,786 | 2,898,694 | (344,908) | (11.9) |
| Investments in properties, net | 851,094 | 843,476 | 7,618 | 0.9 |
| Loans to customers and accrued interest receivables, net | | | | |
| Loans to customers | 196,487,830 | 196,329,407 | 158,423 | 0.1 |
| Securities business receivables | 0 | 284,815 | (284,815) | (100.0) |
| Accrued interest receivables | 922,666 | 936,587 | (13,921) | (1.5) |
| Total loans to customers and accrued interest receivables | 197,410,496 | 197,550,809 | (140,313) | (0.1) |
| Less Deferred revenue | (20,133,733) | (18,648,635) | (1,485,098) | 8.0 |
| Less Allowance for doubtful accounts | (10,964,711) | (9,539,335) | (1,425,376) | 14.9 |
| Less Allowance for troubled debt restructuring | (1,135) | (6,413) | 5,278 | (82.3) |
| Total loans to customers and accrued interest receivables, net | 166,310,917 | 169,356,426 | (3,045,509) | (1.8) |
| Properties foreclosed, net | 3,728,384 | 4,598,378 | (869,994) | (18.9) |
| Land, premises and equipment, net | 2,091,799 | 1,892,262 | 199,537 | 10.5 |
| Other intangible assets, net | 733,724 | 684,964 | 48,760 | 7.1 |
| Goodwill | 3,066,035 | 3,066,035 | 0 | 0.0 |
| Deferred tax assets | 1,680,935 | 1,444,770 | 236,165 | 16.3 |
| Accounts receivable from clearing house | 629,469 | 1,030,855 | (401,386) | (38.9) |
| Securities and derivative business receivables | 7,602,021 | 14,463,306 | (6,861,285) | (47.4) |
| Other assets, net | 2,157,627 | 2,984,456 | (826,829) | (27.7) |
| **Total assets** | 233,776,379 | 236,144,240 | (2,367,861) | (1.0) |

Liabilities amounted to Baht 193,259 million, decreasing 2.4% from the end of 2015. Deposits were Baht 109,923 million, increasing by 5.4%. Deposits comprised of 46.3% of term deposits and 53.7% of current and saving accounts (CASA), compared with CASA of 50.7 % at the end of 2015.

Meanwhile, debts and borrowings were Baht 56,055 million, decreased by 8.2% from the end of 2015. During 2016, the Bank issued debentures totaling Baht 91,173 million of which Baht 3,000 million

are subordinated debentures classified as Tier 2 capital. Loan to deposits and borrowings ratio stood at 106.3% comparing to 107.6% at the end of 2015.

| **LIABILITIES** (BAHT'000) | **CONSOLIDATED** | | **Change** | |
|---|---|---|---|---|
| | **Dec 31, 2016** | **Dec 31, 2015** | **Amount** | **%** |
| Deposits | 109,922,919 | 104,326,899 | 5,596,020 | 5.4 |
| Current Account | 397,636 | 349,549 | 48,087 | 13.8 |
| Saving Account | 58,626,581 | 52,524,864 | 6,101,717 | 11.6 |
| Term Deposit | 50,094,639 | 50,802,178 | (707,538) | (1.4) |
| Certificate of Deposit | 804,063 | 650,308 | 153,754 | 23.6 |
| Interbank and money market items, net | 8,359,651 | 9,209,441 | (849,790) | (9.2) |
| Liabilities payable on demand | 225,390 | 388,583 | (163,193) | (42.0) |
| Derivatives liabilities | 2,499,389 | 2,583,953 | (84,564) | (3.3) |
| Debt issued and borrowings | 56,054,619 | 61,084,916 | (5,030,297) | (8.2) |
| Senior securities | 49,964,619 | 57,827,838 | (7,863,219) | (13.6) |
| Subordinated bond | 6,000,000 | 3,000,000 | 3,000,000 | 100.0 |
| Bills of Exchange | 90,000 | 257,078 | (167,078) | (65.0) |
| Provisions | 567,823 | 441,873 | 125,950 | 28.5 |
| Deferred tax liabilities | 54,614 | 108,789 | (54,175) | (49.8) |
| Accounts payable to clearing house | 2,885,681 | 1,097,742 | 1,787,939 | 162.9 |
| Securities and derivative business payables | 4,382,762 | 9,816,958 | (5,434,196) | (55.4) |
| Accrued interest expenses | 476,549 | 721,953 | (245,404) | (34.0) |
| Other accounts payable | 1,876,181 | 1,861,756 | 14,425 | 0.8 |
| Legal Execution Department payable | 575,380 | 575,380 | 0 | 0.0 |
| Income tax payable and specific business tax payable | 605,053 | 695,815 | (90,762) | (13.0) |
| Other liabilities | 4,773,014 | 5,074,226 | (301,212) | (5.9) |
| **Total liabilities** | 193,259,025 | 197,988,284 | (4,729,259) | (2.4) |

Shareholders' equity was Baht 40,517 million, up 6.2% from the end of 2015. Total issued and paid-up capital totaled Baht 8,468 million. Share premium totaled Baht 9,356 million. Unappropriated retained earnings at Baht 20,505 million.

The Dividend payment

The Bank paid the remaining dividend for the year 2015 operations at the rate of Baht 2.00 per share on May 24, 2016 and paid the interim dividend payment for the January 1 – June 30, 2016 operations at the rate of Baht 2.00 per share on September 23, 2016.

Capital Adequacy Ratio (BIS ratio)

As at December 31, 2016, the Capital Adequacy Ratio (BIS ratio) under Basel III which included profit for the year 2015 was at 18.53% while Tier-1 ratio was at 15.01%. When including profit for the year 2016, the BIS ratio will increase to 20.40% while Tier-1 ratio will be 16.87%.

## Business Segment Performance

The Organization structure divides business into 2 groups which are 1) Commercial Banking Business and 2) Capital Market Business

**Commercial Banking Business** including retail lending, commercial lending, corporate lending, Special Asset Management (SAM) or distressed asset management loan and other loans. The breakdown of total loan portfolio is as follows;

| Type of loans | Dec 31, 2016 | | Dec 31, 2015 | | Change |
|---|---|---|---|---|---|
| | Baht million | % | Baht million | % | (%) |
| **Retail Lending** | **123,716** | **70.1** | **120,696** | **67.8** | **2.5** |
| Hire Purchase | 113,049 | 64.1 | 116,246 | 65.3 | (2.7) |
| Personal loan | 4,240 | 2.4 | 2,068 | 1.2 | 105.0 |
| Micro SMEs loan | 2,735 | 1.6 | 1,434 | 0.8 | 90.7 |
| Housing loan | 3,691 | 2.1 | 948 | 0.5 | 289.5 |
| **Commercial Lending** | **41,337** | **23.4** | **46,263** | **26.0** | **(10.6)** |
| Real Estate Development | 19,279 | 10.9 | 24,719 | 13.9 | (22.0) |
| SMEs loan | 22,058 | 12.5 | 21,544 | 12.1 | 2.4 |
| **Corporate Lending** | **6,882** | **3.9** | **8,774** | **4.9** | **(21.6)** |
| **Special Asset Management loan** | **665** | **0.4** | **694** | **0.4** | **(4.2)** |
| **Lombard loan** | **3,867** | **2.2** | **1,255** | **0.7** | **208.2** |
| **Other loans** | **0** | **0.0** | **285** | **0.2** | **(100.0)** |
| **Total loans and account receivables** | **176,466** | **100.0** | **177,966** | **100.0** | **(0.8)** |

**Retail Lending** totaled Baht 123,716 million, increasing by 2.5% from the end of 2015. Retail loans include hire purchase loans, personal loans, Micro SMEs loans including SME Car3x loans and housing loans.

Hire purchase loans amounted to Baht 113,049 million, declining by 2.7% yoy. New hire purchase business volume booked during the year 2016 totaled Baht 41,771 million, increasing 11.3% yoy. The portion of new cars to used cars is currently at 48:52. Domestic new car sales for the year 2016 totaled 768,788 units, declining by 3.9% comparing to sales for last year. The penetration rate of KK new cars lending to the domestic new car sales for the year 2016 was at 3.8%, declining from 4.2% as of end of 2015.

For the year 2016, other retail loans expanded at a high rate as a result of the Bank's effort to expand into new customer base by setting up a direct sales team. Personal loans amounted to Baht 4,240 million, an increase of 105.0% yoy, Micro SMEs loans including SME Car3x loans totaled Baht 2,735 million, expanded by 90.7% and housing loans totaled Baht 3,691 million, an increase of 289.5% yoy.

**Commercial Lending** business amounted to Baht 41,337 million, contracting 10.6% yoy. Commercial Lending includes real estate development loans and SMEs loans, details are as follows:

Real estate development loans (RE) were Baht 19,279 million, contracting by 22.0% from the end of 2015. The contractions in 2016 is partly due to the government stimulus measure on the reduction of fees related to real estate transactions which ended in April 2016, resulting in increased in repayments.

SMEs loans were Baht 22,058 million, expanded by 2.4% from the end of 2015. SMEs loan comprises of several business sectors including Apartment & Hotel, Floor Plan, Logistics, Specialized Industrial, and Construction Machinery & Materials.

**Corporate Lending** provides lending services to listed companies clients and large corporate clients or financing for Investment Banking transaction of Capital Market Business. Current outstanding loans totaled Baht 6,882 million, a contraction of 21.6% yoy as a result of high repayments.

**Special asset management (SAM)** is responsible for distressed asset management business and sale of foreclosed assets. Current outstanding financial claim loans totaled Baht 665 million.

**Lombard Loan**, a multi-purpose credit facility for Wealth Management clients using financial assets as collateral. Current outstanding loans totaled Baht 3,867 million, an increase of 208.2% yoy.

**NPLs distribution by loan type (consolidated)**

| Type of loans | Dec 31, 2016 | | | Dec 31, 2015 | | |
|---|---|---|---|---|---|---|
| | Baht million | % | % of loans | Baht million | % | % of loans |
| **Retail Lending** | **2,602** | **26.1** | **2.1** | **3,438** | **33.0** | **2.8** |
| Hire Purchase | 2,133 | 21.4 | 1.9 | 2,847 | 27.4 | 2.4 |
| Personal loan | 98 | 1.0 | 2.3 | 131 | 1.3 | 6.3 |
| Micro SMEs loan | 296 | 3.0 | 10.8 | 372 | 3.6 | 26.0 |
| Housing loan | 75 | 0.8 | 2.0 | 88 | 0.8 | 9.3 |
| **Commercial Lending** | **6,721** | **67.4** | **16.3** | **6,269** | **60.2** | **13.5** |
| Real Estate Development | 5,248 | 52.6 | 27.2 | 4,862 | 46.7 | 19.7 |
| SMEs loan | 1,473 | 14.8 | 6.7 | 1,406 | 13.5 | 6.5 |
| **Corporate Lending** | **0** | **0.0** | **0.0** | **0** | **0.0** | **0.0** |
| **Special Asset Management loan** | **645** | **6.5** | **97.0** | **694** | **6.7** | **100.0** |
| **Lombard loan** | **0** | **0.0** | **0.0** | **0** | **0.0** | **0.0** |
| **Other loans** | **0** | **0.0** | **0.0** | **7** | **0.1** | **2.5** |
| **Total** | **9,968** | **100.0** | **5.6** | **10,408** | **100.0** | **5.8** |

The consolidated NPLs amounted to Baht 9,968 million or 5.6% of total loans, decreasing from 5.8% at the end of 2015. NPLs of hire purchase loans still continue to decrease with the NPLs ratio for hire purchase loans declining continuously from 2.4% at the end of 2015 to 2.2% in 1Q16, declining to 2.1% in 2Q16 with a further decline to 2.0% in 3Q16 with ratio at 1.9% as of end of 2016 following strict internal measures and continuous internal process improvements. NPLs for real estate development loans also improved during the year with NPLs amount declining since 2Q16. However, the ratio increased to 27.2% as of end of 2016 due to the high level of contraction in real estate development loans which for the year 2016, contracted 22.0% yoy.

**Capital Market business** comprises of brokerage business, investment banking business, investment business, and asset management business. Details are as follows:

- **Equity and Derivatives Brokerage Business**

Phatra Securities Plc. ("PSEC") operates Agency Business providing both securities and derivatives brokerage services to local and foreign institutional investors, as well as high net worth individuals under Private Wealth Management. For high net worth clients, other wealth management products are provided such as mutual funds and structured products. For 2016, the market share[1] of PSEC was 4.81%, ranking 4th from total 36 brokers. PSEC generated brokerage revenue totaling Baht 1,610 million comprising of equity brokerage revenue of Baht 1,189 million, derivatives brokerage revenue of Baht 147 million, and other brokerage income of Baht 274 million.

- **Investment Banking Business**

Investment banking business, operated by PSEC, provides financial advisory service as well as underwriting service. In 2016, the revenue was Baht 174 million, contributed to financial advisory fee amounting Baht 102 million and underwriting fee amounting Baht 72 million.

- **Investment Business**

Investment Business is managed by 3 departments in which Phatra operates direct investment business, by Direct Investment Department ("DI"), with medium to long-term investment horizon, while PSEC manages short-term investment, by Investment and Trading Group, comprising of Equity and Derivatives Trading Department ("EDT") and Hedge Fund Department ("HF"). EDT focuses on equity and equity-linked securities in the capital market and derivatives market, with short-term investment not more than 1 year by applying Arbitrage investment strategy as well as issuing and offering financial structured products. HF focuses on equity and derivatives trading with less than 1 year investment horizon, applying Market Neutral strategy and advanced statistical modeling.

In 2016, DI focusing on long-term investment with value based investment philosophy recorded gain on investment including loss on re-measuring available-for-sale securities totaling Baht 326 million. HF, which operates on a 3-6 month investment horizon and is susceptible to temporary loss in the interim,

[1] Including SET and mai but excluding proprietary trading

posted gain of Baht 182 million for the year.[2] Meanwhile, EDT had gain on investment totaling Baht 529 million.[3] Additionally, there were other investment incomes from treasury and liquidity management, resulting in overall investment income of Baht 1,149 million.

- **Asset Management Business**

Phatra Asset Management Co., Ltd. ("PASSET"), under mutual fund and private fund management licenses, offers fund management services to individuals and corporate customers. PASSET's mutual fund AUM as of 31 December 2016 was Baht 42,999 million with total 36 funds under management consisting of 33 mutual funds and 3 property funds. PASSET's market share in terms of mutual fund was 0.92%. In 2016, PASSET's fee income from mutual fund business totaled Baht 192 million. As of 31 December 2016, asset under management from private fund was Baht 9,751 million. PASSET's fee income from private fund business totaled Baht 143 million.

Please be informed accordingly.

Yours sincerely,

Mr. Aphinant Klewpatinond
Chief Executive Officer and President

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[2] In addition to the investment revenue, HF also had foreign exchange loss and advisory fee revenue totaling revenue Baht 29 million and hedging cost of Baht 40 million. In summary, total HF gain after cost of hedging was Baht 171 million
[3] Income before deducting the cost of hedging, once deducting those costs, net gain was Baht 476 million